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DJIA 49501.30 ▲ 260.31 0.53% NASDAQ 22904.58 ▼ 1.5% STOXX 600 618.12 ▲ 0.03% 10-YR. TREAS. ▼ 1/32, yield 4.277% OIL $65.14 ▲ $1.93 GOLD $4,920.40 ▲ $16.70 EURO $1.1809 YEN 156.88

What's News

Business & Finance

◆ **Artificial intelligence** is supercharging Google's advertising and cloud-computing businesses, and the company is stepping up spending to unheard of levels in its quest to win the AI race. **A1**

◆ **The S&P 500 and** Nasdaq fell by 0.5% and 1.5%, respectively, as a slide in tech stocks spread from software into semiconductor shares and other companies linked to the infrastructure build-out for AI. The Dow rose 0.5%. **A1**

◆ **Sen. Tim Scott of** South Carolina said he doesn't believe Fed Chair Jerome Powell committed a crime in testimony that has become central to an explosive Justice Department investigation. **A2**

◆ **Advisers for SpaceX**, which recently merged with xAI, reached out to index providers to discuss how the company might join key indexes sooner than normal. **B1**

◆ **The private sector** added 22,000 jobs in January, human-resources firm ADP estimated, less than half the tally expected by analysts surveyed by The Wall Street Journal. **A2**

◆ **Uber continued to** gain customers at a fast clip thanks to geographic and product expansions, which executives said will fuel growth for years to come. **B1**

◆ **The Washington Post** is cutting one-third of its staff, representing hundreds of jobs, in an effort to trim costs and reshape coverage. **B1**

◆ **Hedge fund D.E. Shaw** is pushing for a board shake-up and other changes at CoStar, a real-estate-information provider that is already facing pressure from Third Point. **B3**

Worldwide

◆ **The Supreme Court** allowed California to use a new congressional map that is projected to add five Democratic-leaning House seats in the 2026 midterm elections. **A3**

◆ **Top Senate negotiators** said an effort to renew expired healthcare subsidies had effectively collapsed, likely ending the hopes of 20 million Americans for lower monthly insurance premiums. **A3**

◆ **Congress received** a redacted version of a classified government whistleblower complaint against spy chief Tulsi Gabbard. **A4**

◆ **The administration** is pulling 700 of the approximately 3,000 federal officers and agents out of Minnesota, border czar Tom Homan said. **A4**

◆ **The man who was** convicted of attempting to assassinate Trump in Florida in 2024 was sentenced to life in prison. **A3**

◆ **Trump said he spoke** with Xi about the "situation in Iran," hours after the Chinese leader held a call with Moscow on the matter. **A7**

◆ **The top Democrat on** a House committee launched an investigation into a $500 million investment by an Abu Dhabi royal in a Trump family cryptocurrency company. **A2**

◆ **The leader of law firm** Paul Weiss resigned as chairman in the wake of revelations about his associations with Jeffrey Epstein. **A6**

◆ **Andrew Mountbatten-**Windsor was ejected from the house he had been occupying after Epstein disclosures. **A6**

◆ **Died: Lee Hamilton**, 94, former congressman. **A4**

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A Tiny Rembrandt Draws a Roaring $17.9 Million

SOTHEBY'S

CAT EYES: A chalk drawing of a recumbent lion by Rembrandt sold for $17.9 million at a Sotheby's auction on Wednesday, smashing the Dutch master's $3.7 million record for a work on paper and reflecting the strength of the art market's recovery. **B1**

Tech Selloff Propels Nasdaq To Its Worst 2 Days in Months

Wall Street rotates out of AI leaders into real-economy companies' stocks

By Hannah Erin Lang, Xavier Martinez and David Uberti

Wall Street's software jitters are turning into an AI slump.

Declines in tech stocks intensified Wednesday, spreading from software to semiconductor shares and other companies linked to the infrastructure buildout for artificial intelligence. The Nasdaq composite posted consecutive 1% declines for the first time since April's tariff chaos.

The moves rattled investors already unnerved by the recent pullback in software stocks that accelerated after the startup Anthropic unveiled a suite of new tools, which can perform industry-specific functions like reviewing legal contracts. Traders are worried that the impact of AI could be more widespread than initially thought—and, at the same time, that the companies in the technological arms race might fall short of delivering the sky-high profits many are hoping for.

Investors continued a weekslong trend of rotating dollars out of longtime stock-market superstars such as chip stocks and the big tech giants, while funneling funds into more traditionally unloved corners of the market.

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◆ **AI worries hit data company stocks..... A2**

◆ **Heard on the Street: Are we in an AI bubble?..... B11**

Alphabet Sales Hit Record, Spending To Double

Google parent's annual revenue tops $400 billion for the first time

By Katherine Blunt

Artificial intelligence is supercharging Google's advertising and cloud-computing businesses, and the company is stepping up spending to unheard-of levels in its quest to win the AI race.

Google parent Alphabet reported an 18% jump in fourth-quarter revenue and revealed plans to roughly double its spending on data centers and other capital projects.

Sales exceeded analysts' expectations at nearly $114 billion, driven by growth in the technology company's digital-advertising and cloud-computing units. Net income was $34.5 billion, a 30% increase compared with the same period a year earlier.

Earnings per share increased 31% to $2.82, ahead of expectations.

The company reported a record $403 billion in sales in 2025—the first time annual revenues surpassed $400 billion. Profit reached about $132 billion last year.

Google, like other tech companies, is spending tens of billions of dollars to develop AI models and build the data centers needed to train and run them.

Data-center development has become increasingly difficult as tech companies face constraints in finding or building electricity supplies to operate them.

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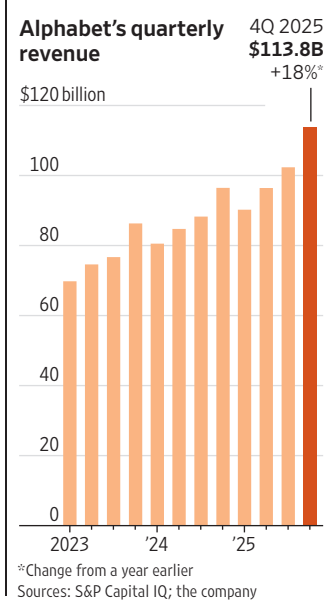

Democrats' Push to Curb ICE Hits GOP Resistance

WASHINGTON—Democrats' drive to reach a deal to put new restrictions on immigration-enforcement agents is running into a Republican brick wall, with lawmakers in both parties saying an agreement looks increasingly unlikely by a Feb. 13 deadline.

By Lindsay Wise, Siobhan Hughes and Michelle Hackman

Congress has just more than a week to reach a deal or funding will lapse for the Department of Homeland Security, which oversees Immigration and Customs Enforcement as well as agencies including the Transportation Security Administration and Federal Emergency Management Agency.

Among Democrats' demands are an end to roving street patrols by federal immigration agents, tighter rules governing warrants and use of force, independent investigations for officer misconduct, and a prohibition on agents wearing masks. They also want to require agents to use body cameras and carry identification. Republicans are open to some of these ideas but have rejected others—while also introducing their own demands, like an end to so-called sanctuary cities.

"The bottom line is we're ready to sit down and negotiate, but it's got to be strong, it's got to be tough. It's got to rein

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◆ **Venezuelans in U.S. face quandary over returning... A3**

Flirty Emails, Chummy Pics Show Epstein's Vast Reach

By Khadeeja Safdar And Neil Mehta

Casey Wasserman was in Italy for the Winter Olympic Games, scheduled to make a presentation to the International Olympic Committee on the progress of the 2028 Los Angeles Games, for which he has led the planning. Peter Attia, a longevity doctor with cult followers and a bestselling book, was days into a new role as a CBS News contributor. And Brett Ratner was promoting "Melania," his documentary about the first lady—his first film since 2017, when six women accused him of sexual misconduct.

All three men had reached—or returned to—the pinnacle of their industries in February 2026. And all three, it turned out, had secrets in the Epstein files.

Flirtatious email exchanges between Wasserman and Ghislaine Maxwell from 2003 were among the files released by the Justice Department on Friday. Attia's name appeared

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◆ **Head of Paul Weiss quits over revelations..... A6**

◆ **Disclosures drive ex-prince from Royal Lodge..... A6**

INSIDE

DENIS BALIBOUSE/REUTERS

SPORTS
Vonn has a torn ACL—but she's still going for gold at the Olympics. **A12**

STEVE NESIUS/REUTERS

BUSINESS & FINANCE
SpaceX seeks early index entry as it prepares massive IPO. **B1**

Whatever You Do, Don't Mess With Pittsburgh's Parking Chairs

* * *

Reserving a spot, illegal in most places, is part of the Steel City's code

By Kris Maher

PITTSBURGH—Jon Nordquist's wife was about to leave for work, and he wasn't taking any chances.

The 52-year-old real-estate appraiser had spent two hours shoveling snow to clear her parking space. So as soon as she pulled away to meet a cosmetology client, he planted a white plastic folding chair in the middle of the empty spot.

"In these extreme situations,

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Cemetery Offers To Turn Loved Ones Into Gardening Soil

Brooklyn's Green-Wood Cemetery embarks on eco-friendly alternative

By Tom Fairless

There is a looming crisis in America's death industry. Green-Wood Cemetery might have found a lifeline.

The storied 478-acre Brooklyn burial ground, like many across the U.S., is running out of room for new occupants. With the help of a German entrepreneur, cemetery officials believe they can profitably augment the property by turning loved ones into gardening soil.

The process, called natural organic reduction, uses the body's own bacteria to transform human tissue. The dead are placed in a sealed vessel bedded with clover, hay and straw and equipped to regulate airflow, temperature and moisture. Then nature takes its course. Microbes break down everything but bones, which are ground into the final compost mix.

Green-Wood's plan is to use the nutrient-rich material to nurture trees, meadows and the bottom line. "It's a way to integrate revenue generation with ecological regeneration," said Joseph Charap, vice president of horticulture at Green-Wood.

The cemetery plans to start with around 18 composting vessels from Berlin-based startup, Meine Erde—translation, My Earth. While similar human-compost companies are sprinkled around the U.S., Pablo Metz, the 45-year-old founder of Meine

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